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Ernst & Young Audyt Polska spółka z ograniczoną odpowiedzialnością sp. k.
Rondo ONZ 1
00-124 Warszawa

+48 (0) 22 557 70 00
+48 (0) 22 557 70 01
www.ey.com/pl

INDEPENDENT AUDITOR'S REPORT ON THE AUDIT

To the General Meeting and Supervisory Board of Dino Polska S.A.

Audit report on the annual financial statements

Opinion

We have audited the annual financial statements of Dino Polska S.A. (the 'Company') located in Krotoszyn at Ostrowska 122, which comprise the introduction to the financial statements, the balance sheet as at 31 December 2022, the income statement, the statement of changes in equity, the cash flow statement for the period from 1 January 2022 to 31 December 2022 and additional information and explanations (the 'financial statements').

The form of the financial statements prepared as at 31 December 2022 is prescribed by the Decree of the Minister of Finance dated 29 March 2018 on current and periodic information published by issuers of securities and conditions for recognition as equivalent the information required by laws of non-EU member states ('the Decree on current and periodic information').

In our opinion, the financial statements:

- give a true and fair view of the financial position of the Company as at 31 December 2022 and its financial performance and its cash flows for the period from 1 January 2022 to 31 December 2022 in accordance with required applicable rules of the Accounting Act dated 29 September 1994 ('the Accounting Act') and the adopted accounting policies,
- comply in respect of the form and content with laws applicable to Company and its Statute,
- have been prepared based on properly maintained accounting records, in accordance with chapter 2 of the Accounting Act.

The opinion is consistent with the additional report to the Audit Committee issued on 23 March 2023.

Basis for opinion

We conducted our audit in accordance with the National Standards on Auditing in the version of International Auditing Standards as adopted by the National Council of Statutory Auditors ("NAS") and pursuant to the Act of 11 May 2017 on Statutory Auditors, Audit Firms and Public Oversight (the 'Act on Statutory Auditors') and the Regulation (EU) No. 537/2014 of the European Parliament and of the Council of 16 April 2014 on specific requirements regarding statutory audit of public-interest entities and repealing Commission Decision 2005/909/EC (the 'Regulation 537/2014'). Our responsibilities under those standards are further described in the *'Auditor's responsibilities for the audit of the financial statements'* section of our report.

We are independent of the Company in accordance with the International Ethics Standards Board of Accountants' (IESBA) International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code), adopted by the National Council of Statutory Auditors and other ethical responsibilities in accordance with required applicable rules of the audit of financial statements in Poland. We have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. While conducting the audit, the key certified auditor and the audit firm remained independent of the Company in accordance with the independence requirements set out in the Act on Statutory Auditors and the EU Regulation 537/2014.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. They include the most significant assessed risks of material misstatement, including the assessed risks of material misstatement due to fraud. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we have summarized our reaction to these risks and in cases where we deemed it necessary, we presented the most important observations related to these types of risks. We do not provide a separate opinion on these matters.

Key audit matter	How our audit responded to this matter
Recognition of benefits related to contracts with suppliers In the financial statements, the Company presents cost of goods and materials sold for the year ended 31 December 2022 in the amount of PLN 14 708 819 thousand. The Company enters into contracts with suppliers, based on which the Company receives rebates, discounts and additional remuneration, that are based, among others, on the volume of purchases as well as promotional and marketing activities. The Company recognizes the benefits resulting from these contracts as a reduction of the purchase price of goods and in result as a reduction of the cost of goods and materials sold upon the sale of goods. A justified portion of the benefits related to contracts with suppliers received during the financial year is allocated to goods unsold as at the balance sheet date as a reduction in their value. Large number of contracts with suppliers and the diversity of terms and conditions in them makes it an area of significant estimation and judgment of the Company's Management with a significant risk of incorrect treatment in respect to the determination of their nature and timing in which these transactions should be recognized in the financial statements, including also the allocation of these amounts towards the value of goods and cost of goods sold. Given the scale of these settlements and the complexity of the estimates, we considered this area as a key audit matter.	During our audit we have obtained an understanding of the Company's process of entering into contracts with suppliers and of the controls implemented in respect to the appropriate settlement of benefits related to contracts with suppliers. As part of our audit, we have also performed procedures, which included among others: • understanding of the Company's accounting policy for determining the cost of goods and materials sold and an assessment of the policy's compliance with the applicable accounting standards; • assessment of the Company's internal controls in respect to the identification and valuation of benefits owed to the Company based on contracts with suppliers and their allocation to inventories and cost of sales; • for a selected sample of suppliers, verification of whether the settlements were performed based on actual contracts or arrangements with suppliers, reconciliation of the calculation of the value of benefits recognized in the financial statements to those contracts and arrangements and verification of the correctness of timing of recognition; • for a selected sample of suppliers, obtaining audit evidence in respect to the value of purchases; • analytical procedures designed to identify trends and correlation of the value of benefits related to contracts with suppliers and to explain potential deviations from our expectations in this respect; • assessment of the allocation of the justification portion of obtained benefits related to contracts with suppliers to the value of inventories unsold as at the balance sheet date;

The accounting policies adopted by the Company in respect to the recognition and presentation of benefits related to contracts with suppliers are presented in note 4.22.1. „Sale of services to the suppliers of goods and sale of other services" of the introduction to the financial statements.	• assessment of the reasonableness of the Company's Management judgment in relation to the recognition of benefits from contracts with suppliers based on the verification of the realization of the prior period estimates in the current period and based on subsequent transactions after the end of the financial period; • assessment of the adequacy and accuracy of disclosures in the financial statements.
Additions of property, plant and equipment As of 31 December 2022, the value of Company's property, plant equipment amounted to PLN 4 590 202 thousand, which represents 55% of the value of total assets in the financial statements. During the financial year, the Company has incurred significant expenditures in respect to property, plant equipment related to investments in stores and distribution centers in the total amount of PLN 1 193 351 thousand. The investment process related to acquisition of property, plant and equipment requires the Company's Management judgment in respect to the appropriateness of capitalization of expenses of property plant and equipment, assessment whether the purchases of construction services, including purchases from related parties, are performed on an arm's length basis, as well as, the selection of an appropriate location for the investment which will generate future economic benefits that will allow the Company to earn a specified rate of return on the investment. Considering the significance of the additions of property, plant and equipment to the financial statements of the Company and the above-mentioned judgments related to this process, we considered the matter of additions of property, plant and equipment as a key audit matter. The accounting policies adopted by the Company in respect to the valuation of property, plant and equipment are presented in note 4.4 „Fixed assets" and 4.5 "Fixed assets under construction" of the introduction to the financial statements.	During our audit we have obtained an understanding of the process of additions of property, plant and equipment and of the controls implemented in respect to the appropriate recognition of property, plant and equipment in the Company's financial statements. As part of our audit, we have also performed procedures, which included among others: • understanding of the Company's accounting policy in respect to the additions of property, plant and equipment and an assessment of the policy's compliance with the applicable accounting standards; • assessment of the Company's internal controls in respect to the additions of property, plant and equipment through performing tests of controls for a selected sample of transactions; • use of experts in the field of real estate valuation in respect to the assessment, on a sample of stores opened during the financial year, whether the construction services were purchased on terms which are not materially different from average market prices; • tests of the correctness of accounting for a sample of property, plant and equipment additions, including an analysis of the correctness of capitalization of incurred expenditures; • assessment of the correctness of the moment of commencement of depreciation in respect to acquired items of property, plant and equipment; • assessment of the adequacy and accuracy of disclosures in the financial statements.

The changes of particular of groups of property, plant and equipment are described in note 7. "Property, plant and equipment" of the additional information and explanations.

Valuation of inventories

As of 31 December 2022, the value of the Company's inventories in the financial statements amounted to PLN 1 918 269 thousand, while the total value of allowance in respect to these inventories amounted to PLN 52 803 thousand.

The matter of valuation, also including the existence of inventories, was determined as a key audit matter considering the significance of the value of inventories to the Company's financial statements, the considerable number of locations in which inventories are held and the professional judgment of the Company's Management.

The professional judgment of the Company's Management relates mainly to the valuation of inventories, which comprises the determination of the purchase price, including an allocation of a justified portion of benefits from contracts with suppliers to inventories unsold as at the balance sheet date, as well as, the estimation of allowances related to matters such as the necessity to estimate inventory losses and the assessment of impairment related to the valuation of inventories at a value not exceeding the net realizable value during sale.

The accounting principles adopted by the Company in respect to the recognition of inventories are presented in note 4.11 „Inventories" of the introduction to the financial statements.

The disclosures related to inventories are presented in note 24 "Inventories at purchase price" of the additional information and explanations.

During our audit we have obtained an understanding of the process of recognition and analysis of the value of inventories in purchase prices, the confirmation of their existence and the assessment of impairment.

As part of our audit, we have also performed procedures, which included among others:

- understanding of the Company's accounting policy in respect to the recognition of inventories at cost, recognition of inventory allowances and an assessment of the policy's compliance with the applicable accounting standards;
- assessment of the Company's internal controls in respect to the purchases of goods and confirmation of their existence through stocktaking procedures functioning in the Company, and in respect to the valuation of inventories including the allocation of a justified portion of benefits from contracts with suppliers to inventories unsold as at the balance sheet date;
- direct participation in selected stock counts, including the assessment of the process of stock counts and the extent of standardization of the process in various locations;
- analytical procedures in relation to the value of inventories in particular locations and explanation of potential deviations from our expectations in this respect;
- assessment of the reasonableness of the Company's Management estimates in relation to the determination of the value of inventories at cost through ana analysis of the allocation of purchase costs and of the allocation of the justified portion of benefits from contracts with suppliers towards inventories unsold as at the balance sheet date;
- assessment of the reasonableness of the Company's Management's estimates in respect to the recognized inventory allowances through an analysis of net

realizable values and other factors and assumptions related to inventory allowances, such as estimated stocktaking provisions;

- assessment of the adequacy and accuracy of disclosures in the financial statements.

Responsibilities of the Company's Management and members of the Supervisory Board for the financial statements

The Company's Management Board is responsible for the preparation, based on properly maintained accounting records, the financial statements that give a true and fair view of the financial position and the financial performance in accordance with the Accounting Act, the applied accounting policies, other applicable laws, as well as the Company's Statute, and is also responsible for such internal control as the Company's Management Board determines is necessary to enable the preparation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, The Company's Management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless The Company's Management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Company's Management and the members of the Company's Supervisory Board are required to ensure that the financial statements meet the requirements of the Accounting Act. The members of the Company's Supervisory Board are responsible for overseeing the Company's financial reporting process.

Auditor's responsibility for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement due to fraud or error, and to issue an independent auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but it is not a guarantee that an audit conducted in accordance with NAS will always detect material misstatement when it exists. Misstatements may arise as a result of fraud or error and are considered material if they, individually or in the aggregate, could be reasonably expected to influence the economic decisions of the users taken on the basis of these financial statements.

The concept of materiality is applied by the auditor both in planning and performing the audit, and in evaluating the effect of identified misstatements on the audit and of uncorrected misstatements, if any, on the financial statements and in forming the opinion in the auditor's report. Hence all auditor's opinions and statements contained in the auditor's report are made with the contemplation of the qualitative and quantitative materiality levels established in accordance with auditing standards and auditor's professional judgment.

The scope of the audit does not include assurance on the future profitability of the Company nor efficiency or effectiveness of conducting business matters now and in the future by the Company's Management Board.

As part of an audit in accordance with NAS, we exercise professional judgment and maintain professional skepticism and we also:

- identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or override of internal control,

- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control,
- evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Company's Management,
- conclude on the appropriateness of the Company's Management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our independent auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our independent auditor's report, however, future events or conditions may cause the Company to cease to continue as a going concern,
- evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the Audit Committee regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We provide the Audit Committee with a statement that we have complied with relevant ethical requirements regarding independence, and communicate to them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated to the Audit Committee, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other information, including the Directors' Report

The other information comprises the management report of the Company for the period from 1 January 2022 to 31 December 2022 („Directors' Report") together with the statement on corporate governance and the statement on non-financial information, which are separate sections of the Directors' Report and the Annual Financial Report for the financial year ended 31 December 2022 ('Annual Report') (jointly 'Other Information'). The Other Information does not include the financial statements and our auditor's report thereon.

Responsibilities of the Company's Management and members of the Supervisory Board

The Company's Management is responsible for the preparation of the Other Information in accordance with the law.

The Company's Management and members of the Company's Supervisory Board are required to ensure that the Directors' Report with separate elements meets the requirements of the Accounting Act.

Auditor's responsibilities

Our opinion on the financial statements does not include the Other Information. In connection with our audit of the financial statements, our responsibility is to read the Other Information and, in doing so, consider whether it is materially inconsistent with the financial statements or our knowledge obtained during the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement in the Other Information, we are required to report that fact in our independent auditor's report. Our responsibility in accordance with the Act on Statutory Auditors is also to issue an opinion on whether the Directors' Report was prepared in accordance with relevant laws and that it is consistent with the information contained in the financial statements.

In addition, we are required to inform whether the Company has prepared the statement on non-financial information and to issue an opinion on whether the Company has included the required information in the statement on corporate governance.

Opinion on the Directors' Report

Based on the work performed during our audit, in our opinion, the Directors' Report:

- has been prepared in accordance with the article 49 of the Accounting Act and paragraph 70 of the Decree of the Minister of Finance dated 29 March 2018 on current and periodic information published by issuers of securities and conditions for recognition as equivalent the information required by laws of non-EU member states (the 'Decree on current and periodic information'),
- is consistent with the information contained in the financial statements.

Statement on Other information

Moreover, based on our knowledge of the Company and its environment obtained during our audit, we have not identified material misstatements in the Directors' Report.

We have nothing to report with respect to the remaining Other information.

Opinion on the corporate governance statement

In our opinion, in the representation on application of corporate governance, the Company has included information stipulated in paragraph 70, section 6, point 5 of the Decree on current and periodic information.

Moreover, in our opinion, the information stipulated in paragraph 70, section 6, point 5 letter c-f, h and i of the Regulation included in the statement on corporate governance is in accordance with applicable laws and information included in the financial statements.

Information on non-financial information

In accordance with the Act on Statutory Auditors, we confirm, that the Company has prepared the statement on non-financial information mentioned in article 49b, section 1 of the Accounting Act as a separate section of the Directors' Report.

We have not performed any assurance procedures on the statement on non-financial information and do not provide any assurance thereon.

Statement on the provision of non-audit services

To the best of our knowledge and belief, we represent that services, which we have provided to the Company and its controlled undertakings, are compliant with the laws and regulations applicable in Poland, and that non-audit services, which are prohibited under article 5 item 1 of Regulation 537/2014 and article 136 of the Act on Statutory Auditors, were not provided. The non-audit services, which we have provided to the Company and its controlled undertakings in the audited period, have been disclosed in the Directors' Report.

Appointment of the audit firm

We were appointed for the audit of the Company's financial statements initially based on the resolution of the Company's Supervisory Board from 15 December 2010 and reappointed based on the resolution from 23 April 2021. The financial statements of the Company have been audited by us uninterruptedly starting from the financial year ended on 31 December 2010, i.e. for the past 13 consecutive years.

Warsaw, 23 March 2023

Key Certified Auditor

Jarosław Dac

certified auditor

no in the register: 10138

on behalf of:

Ernst & Young Audyt Polska spółka z ograniczoną odpowiedzialnością sp. k.

Rondo ONZ 1, 00-124 Warsaw
no on the audit firms list: 130